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The fall in GE's shares caused many people a lot of pain. It could easily have been avoided. What keeps people making these same mistakes? Why do so many overconcentrate in a single stock?

Recognizing the reasons why is crucial to avoiding them.

Survivorship bias

We tend to evaluate our world based on what we see and remember. That can lead to a somewhat distorted view of how individual companies behave over the long run.^{[274](#)}

A favorite example of this is the lost or forgotten stock certificate,^{[275](#)} it resurfaces every few years. A classic example is the person who in 2000 discovered they owned shares of EMC, purchased in 1987 for about \$16,000, that were worth about \$5 million; today's version is the forgotten and rediscovered purchase of Bitcoins.^{[276](#)}

The wrong lesson is that if you buy a good stock and forget about it for decades, you will become rich. Employees of GE were thinking the same thing when they overweighted their retirement accounts with company stock.

The survivorship bias is in all of the stories that *aren't* published. Newsworthy stories happen when great wealth is created by accident. Dusty old shares of Enron or Lehman Brothers or Blockbuster or Sears do not warrant the same sort of attention. "Local man finds worthless paper in attic" is an article nobody would write, no website would publish, and no one would read.

Risk and reward are closely related

The flip side of all high expected returns is *increased risk of lower returns*. This is the single most important rule of investing. To get better than average returns you must be willing to accept higher—sometimes much